TOP 30 ENTREPRENEURSHIP CASE STUDIES

Most Expected Application-Based Questions | Compiled by Luffy (ThunderStudy)

Rohit wants to start a mobile repair shop with small capital provided by his family. He wants full control and is willing to bear risks alone.

1. Identify the form of business organisation and state two advantages.

Answer:

Organisation: Sole Proprietorship.

Advantages: 1. Ease of formation and closure. 2. Direct incentive (all profits belong to owner).

Two friends start a bakery business by contributing equal capital and sharing profits.

2. Identify the form of organisation and state two features.

Answer:

Organisation: Partnership.

Features: 1. Agreement between parties. 2. Mutual Agency (business carried on by all or any of them acting for all).

An entrepreneur forms a company where shares are sold to public and ownership is separated from management.

3. Identify the organisation type and state two advantages.

Answer:

Organisation: Public Limited Company.

Advantages: 1. Limited Liability of shareholders. 2. Ability to raise huge capital from the public.

Megha observed rising demand for eco-friendly bags due to plastic ban. She started producing cloth bags.

4. Identify the source of business idea and explain one advantage.

Answer:

Source: Market Driven Idea (Environment/Regulatory change).

Advantage: Assured market demand due to the gap created by the ban.

Rahul developed a machine to convert agricultural waste into biofuel after noticing wastage in farms.

5. Identify idea field and explain importance of opportunity recognition.

Answer:

Field: Natural Resources / Creative Efforts.

Importance: Opportunity recognition allows an entrepreneur to be a "first mover" and gain a competitive advantage.

A firm started manufacturing smart watches after observing competitors gaining popularity.

6. Identify idea generation source and state two benefits of adapting market trends.

Answer:

Source: Market/Competitor Trends Study.

Benefits: 1. Reduces risk of failure as demand is proven. 2. Easier to convince investors.

A startup prepares a plan describing production process, machinery and raw material requirements.

7. Identify component of business plan and state its importance.

Answer:

Component: Production / Operational Plan.

Importance: It serves as a blueprint for the physical execution of the business.

A company prepares plan explaining ownership structure, roles and responsibilities.

8. Identify business plan component and its role.

Answer:

Component: Organisational Plan.

Role: It clarifies the hierarchy and legal structure, ensuring smooth internal management.

A firm develops marketing strategies, pricing policies and promotion techniques.

9. Identify component of business plan and state two elements.

Answer:

Component: Marketing Plan.

Elements: 1. Target Market description. 2. Marketing Mix (4Ps).

A company launches a high-tech smartphone at a very high price to recover research cost.

10. Identify pricing strategy and state two features.

Answer:

Strategy: Skimming Pricing.
Features: 1. High initial price. 2. Targets "early adopters" and high-income segments.

A new detergent brand enters market with price lower than competitors to attract customers.

11. Identify pricing strategy and state its objective.

Answer:

Strategy: Penetration Pricing.
Objective: To capture significant market share quickly and discourage competitors.

A furniture manufacturer fixes price by adding profit margin to cost of production.

12. Identify pricing method and state one advantage.

Answer:

Method: Cost-Plus Pricing.
Advantage: Simple to calculate and ensures all costs plus profit are covered.

A company appoints salespersons to demonstrate vacuum cleaners at customer homes.

13. Identify distribution channel and state two advantages.

Answer:

Channel: Zero-Level Channel (Direct Selling).
Advantages: 1. Direct feedback. 2. No profit-sharing with middlemen.

A firm offers discounts and coupons during festive season.

14. Identify promotion technique and state its objective.

Answer:

Technique: Sales Promotion.
Objective: To trigger immediate, short-term sales growth.

A company promotes product using television, radio and social media advertisements.

15. Identify promotion tool and state two benefits.

Answer:

Tool: Advertising.
Benefits: 1. Wide reach. 2. Builds brand image over time.

A company uses a unique symbol and name to identify its product in market.

16. Define brand and state two advantages.

Answer:

Brand: A name, term, sign, or symbol intended to identify one seller's goods and differentiate them from competitors.
Advantages: 1. Product identification. 2. Legal protection (if trademarked).

An entrepreneur registers invention to stop others from copying product.

17. Identify type of IPR and state its benefits.

Answer:

IPR: Patent.
Benefits: Provides exclusive rights to manufacture and sell for a limited period (usually 20 years).

A firm registers a distinctive logo to identify its product.

18. Identify type of IPR and state its importance.

Answer:

IPR: Trademark.
Importance: Prevents other firms from using similar logos that might confuse customers.

A company raises funds by selling shares privately to institutional investors without public disclosure.

19. Identify finance method and state two advantages.

Answer:

Method: Private Placement.
Advantages: 1. Faster than public issue. 2. Less regulatory and flotation costs.

A startup wants to measure profitability by comparing profit earned with total investment.

20. Identify financial tool and its importance.

Answer:

Tool: Return on Investment (ROI).
Importance: It tells how efficiently the capital is being utilized to generate profit.

An entrepreneur calculates point where total cost equals total revenue.

21. Identify financial concept and state two uses.

Answer:

Concept: Break-Even Point (BEP).
Uses: 1. Deciding sales targets. 2. Determining safety margins.

A garment company calculates level of stock at which new order must be placed.

22. Identify inventory concept and state factors.

Answer:

Concept: Re-Order Level (ROL).
Factors: 1. Lead time. 2. Rate of daily consumption.

A company uses EOQ model to manage inventory.

23. Define EOQ and state two advantages.

Answer:

EOQ: The quantity to be ordered that minimizes total inventory costs (ordering + carrying).
Advantages: 1. Reduces storage costs. 2. Avoids stock-outs.

A firm studies demand before selecting product to manufacture.

24. Explain importance of demand assessment and two factors.

Answer:

Importance: Ensures that production is aligned with market needs, preventing over-stocking.
Factors: 1. Consumer income. 2. Price of substitute goods.

Two competing broadband companies merge to fight new competitor.

25. Identify growth strategy and its objective.

Answer:

Strategy: Horizontal Merger.
Objective: To achieve economies of scale and reduce competition.

A company purchases majority shares of competitor after friendly takeover fails.

26. Identify acquisition type and state a feature.

Answer:

Type: Hostile Acquisition.
Feature: It is executed against the wishes of the target company's management.

Two companies operating at different stages of supply chain combine business.

27. Identify merger type and state one advantage.

Answer:

Type: Vertical Merger.
Advantage: Better control over supply chain and reduced production time/costs.

An entrepreneur expands business by launching new products in new markets.

28. Identify growth strategy and state two benefits.

Answer:

Strategy: Diversification.
Benefits: 1. Risk distribution. 2. Brand extension.

A startup collaborates with foreign company to share technology and market resources.

29. Identify type of business expansion and state advantages.

Answer:

Expansion: Joint Venture.
Advantages: 1. Access to high-end technology. 2. Entry into international markets.

A firm improves technology and acquires another company to increase market share.

30. Identify growth strategy and state importance of technology upgradation.

Answer:

Strategy: External Growth (Acquisition).
Importance of Technology: Improves productivity, reduces wastage, and helps stay competitive in the market.

⭐ **Boards Preparation Insight:** Analysis shows that Case Studies related to Pricing Strategies, Business Plan Components, and Mergers & Acquisitions carry the highest weightage (typically 5–8 marks per set).